

MARKET ANALYSIS

Can a 980,000-SF Office Campus Trade When the Tenant Is the Only Bid?

The St. Louis sale reveals how basis, not demand, is setting office prices in a single-tenant market.

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A source-grounded Light Tower Insight. The complete note follows.

The sale of a 217-acre office campus in St. Louis is not a sign that office demand has returned. It is a sign that when the tenant is also the only logical buyer, the basis can clear.

King Realty Advisors and Colliers arranged the sale of the 980,644-square-foot campus at 8000 W. Florissant Ave. Bryan King of King Realty Advisors represented the buyer, Jim Onder. Joe Hill of Colliers represented the seller. The most recent owner was Copeland, the Emerson Electric spinoff owned by Blackstone. Copeland will continue to occupy its headquarters at the property and lease from the new owner.

The transaction matters because it inverts the usual office distress narrative. The seller was not a distressed fund or a lender taking back the keys. It was a corporate owner that had already decided the asset was not core to its balance sheet. The buyer was not a speculative investor betting on a leasing recovery. It was a local buyer willing to underwrite a single-tenant cash flow at a basis that made sense for both sides.

That basis is the story.

Copeland, as the seller, was not trying to maximize price. It was trying to convert a non-core asset into liquidity. Blackstone, as Copeland's owner, has a portfolio of assets to manage, and a 980,000-square-foot campus in north St. Louis is not where its capital is best deployed. Selling to a local buyer who will lease the space back to Copeland allows the company to free up equity while retaining operational control. The seller got liquidity. The buyer got a tenant with a credit profile backed by Blackstone.

The buyer, Jim Onder, is taking on a different kind of risk. He is buying a single-tenant asset in a market where office vacancy is elevated and leasing demand is concentrated in newer, smaller spaces. The campus is 217 acres with nine buildings. That is a lot of land and a lot of square footage to maintain for one tenant. If Copeland ever decides to consolidate or relocate, the buyer will be holding a very large, very specific asset with limited alternative demand.

But the buyer is not underwriting a speculative future. He is underwriting the current lease, the

current tenant, and the current basis. If the purchase price was low enough relative to the in-place rent, the deal works without any leasing recovery. That is the only way a 980,000-square-foot office campus trades in 2026.

The deal also reveals something about the capital stack. There is no mention of a lender in the reporting. That is not an accident. Single-tenant office campuses with long-term leases to credit tenants can still attract debt, but the loan-to-value will be conservative. A lender underwriting this asset will look at the lease term, the tenant's credit, and the replacement cost of the space. If the buyer put significant equity into the deal, the lender's risk is manageable. If the buyer used high leverage, the lender is betting on Copeland's tenancy for the full loan term.

The broader pattern is clear. Office liquidity is not returning broadly. It is returning in narrow, specific situations where the basis has been reset to a level that a buyer can defend. That reset happens when the seller has a reason to sell that is not about maximizing price. Copeland had a reason: it wanted to be a tenant, not a landlord. The buyer had a reason: he could underwrite the cash flow at a price that made sense. The two reasons aligned.

This is not a template for the broader office market. Most office owners are not corporate tenants with a captive buyer. Most office assets do not have a single tenant with a Blackstone credit profile. Most office sellers are still trying to defend a basis from 2019 or 2021. Those deals will not clear until the basis resets.

For owners with large, single-tenant office assets, the lesson is uncomfortable. The most likely buyer is the tenant. If the tenant does not want to buy, the pool of buyers shrinks dramatically. For lenders with single-tenant office exposure, the question is whether the tenant has both the desire and the balance sheet to take the asset off the lender's hands. If the answer is no, the basis has further to fall.

The St. Louis campus sale is a clean, specific transaction. It is not a signal that office is back. It is a signal that when the tenant is the buyer, the basis can work. That is a narrow lane, but for the right asset, it is enough.

SOURCES

- RE Business Online —
<https://rebusinessonline.com/king-realty-advisors-colliers-arrange-sale-of-217-acre-office-campus-in-st-louis/>

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